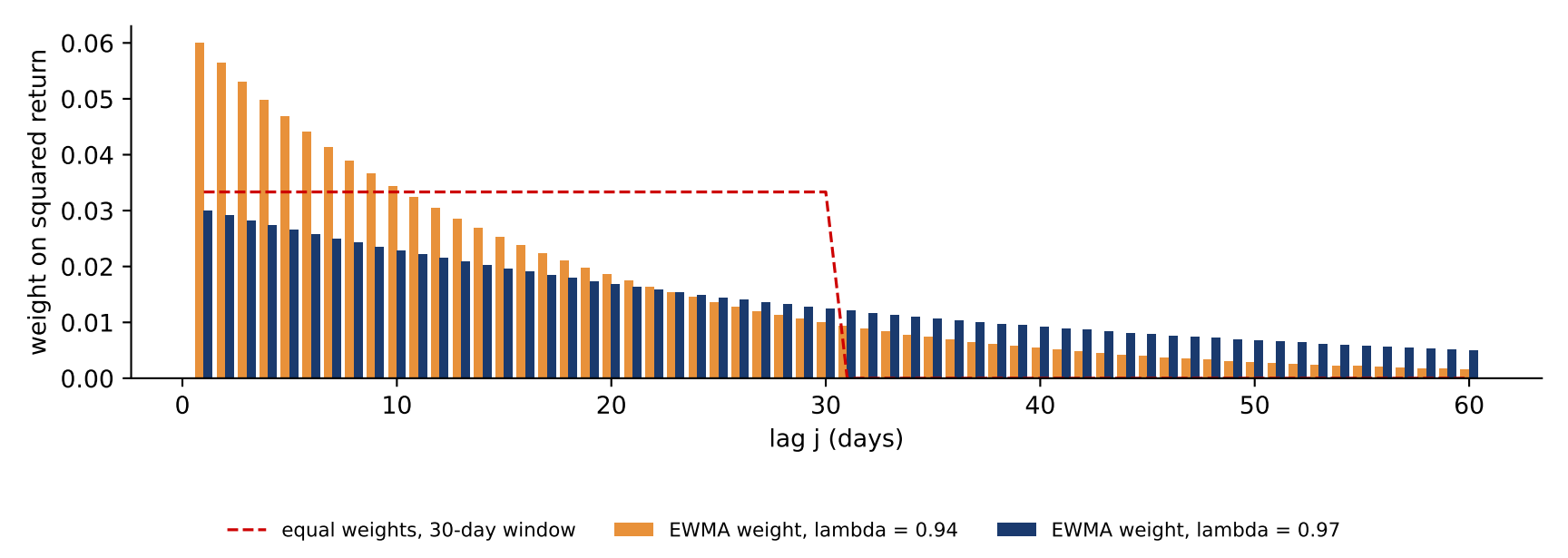
weight on squared return
0.06
0.05
0.04
0.03
0.02
0.01
0.00
0
10
20
30
40
50
60
lag j (days)
equal weights, 30-day window
EWMA weight, lambda = 0.94
EWMA weight, lambda = 0.97